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BUSINESS

Netflix Surprises With Big Subscriber Gains, Shares Soar

Streaming giant's strong growth comes amid stiff competition in the race to attract viewers and their dollars

By Austen Hufford

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Netflix said Monday it earned 15 cents per share on \$2.79 billion in revenue for the second quarter. ELISE AMENDOLA/ASSOCIATED PRESS

Netflix Inc. blew through its subscriber-growth estimate in the second quarter, showing that its big bets on original programming and international expansion are paying off, even as the streaming market gets more crowded.

The Los Gatos, Calif., company ended the quarter with nearly 104 million subscribers globally. It added 5.2 million users in total, far more than the 3.2 million it had

projected, as well as Wall Street's estimate of 3.5 million net additions.

Revenue jumped 32% to \$2.79 billion, while the company's operating profit margin globally was 4.6%, down from 9.7% in the first quarter.

Netflix has indicated to Wall Street it would like to be judged primarily based on its revenue and global operating-profit margins, as opposed to metrics such as its subscriber additions. But many investors have remained focused on subscriber growth as a proxy for long-term financial health.

Netflix shares have risen 30% this year and were up 10% in aftermarket trading on Monday.

The latest results underscored just how unpredictable Netflix's quarterly reports are becoming. The company is still trying to understand the precise mix of factors that propel fantastic results and those that bring about disappointing ones. One question for Wall Street will be whether the surge in the second quarter was related to specific show releases, or was a sign of underlying momentum.

In a letter to shareholders, Netflix said it underestimated the popularity of its growing slate of programming, which led to higher-than-expected subscription growth across its major markets. This year, Netflix programs got 91 Emmy Award nominations, up from 54 in 2016, according to Cantor Fitzgerald, including best drama nods for "Stranger Things," "The Crown" and "House of Cards."

On a video chat with an analyst, Netflix Chief Executive Reed Hastings said the company is reaping the dividends of its big content investments.

"When we produce an amazing show like 'Stranger Things,' that's a lot of capital upfront, and then you get a payout over many years," he said. "And seeing the positive returns on that for the business as a whole is what makes us comfortable that we should continue to invest."

The company said it now has \$15.7 billion in streaming-content obligations, a measure of current and future costs for content acquisition, licensing and production, up from \$13.2 billion in the same quarter last year.

Netflix added 4.14 million international subscribers in the quarter, well above its guidance of 2.6 million. It added 1.07 million U.S. subscribers, compared with its target of 600,000.

The company said the sequential increase in new subscribers to 5.2 million in the second quarter from 5 million in the first quarter went against historic seasonal trends.

Netflix expects to keep up strong momentum in the third quarter, projecting 4.4 million subscriber additions, but warned that it has over-forecast in the past, and that some subscriber growth could have been pulled forward into the second quarter.

The strong growth comes as competition is intensifying in the streaming market. In the U.S., Netflix is battling for wallet-share against rivals Amazon.com Inc. and Hulu, as well as “skinny” bundles like Sling TV and YouTube TV that hope to be substitutes for cable. Internationally, Netflix has to contend with dozens of local rivals. Netflix also competes against the biggest TV channels and studios for original programming.

Netflix posted a second- quarter profit of \$66 million, or 15 cents a share, compared with a profit of \$41 million, or 9 cents a share, in the same quarter last year.

Analysts surveyed by Thomson Reuters had projected earnings of 16 cents a share on \$2.76 billion in revenue.

As with many tech giants in recent years, investors are more concerned with Netflix’s growth potential than its current earnings. Shares are priced at more than 200 times earnings.

The streaming-video company said that a majority of its subscribers are now

international, and that it expects the international unit to post its first-ever annual profit this year. International customers accounted for under a quarter of the total in 2013.

Netflix has been aggressively pursuing global expansion as its core U.S. market matures and as it works to offset growing content costs and original programming investments.

Following a battery of launches last year, Netflix said it serves customers in more than 190 countries. The one big market where the service isn't available is China. Netflix has acknowledged that gaining a foothold there has been difficult.

In April, Netflix said it reached a licensing deal with Baidu Inc.'s Chinese video-streaming platform iQiyi to show its original content in China.

Improving profitability in the company's more established international markets is letting Netflix invest more in newer areas. The company said it was on track to meet its operating-margin target of 7%.

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